

Everything You Need to Know about Personal Finance

A few years ago, I had lunch with an individual who was considering hiring me to give a multi-hour seminar to a business convention on personal finance. This person knows me from the local community and is a reader of TheSimpleDollar.com, and he felt that I might be the right person to give such a presentation.

During the lunch, out of the blue, he asked me to give a five-minute nutshell version of what I would present to the group. I thought for a minute, pulled a pen out of my pocket, and

asked him for five business cards. In those next five minutes, I summarized everything I know about personal finance in the following pocket-friendly presentation.

1. The most important thing

In the end, this is the fundamental rule of personal finance: Spend less than you earn. It's the one point that comes up time and time again in almost every personal finance book you read or presentation that you hear. Why? Because it's true.

There are two avenues to achieving this goal: spending less and earning more. By working on either (or both) of these areas, you can increase the gap between those two numbers—and that gap is your ticket to freedom. The harder you work on either spending less or earning more, the bigger that gap will become and the quicker that train to your dreams will arrive at the station.

2. Earn more

So how does one *earn more*? Many people will argue that there is no universal way for people to earn more money, and they're right: While some people are born entrepreneurs, others function much better in an office environment. Some people are

